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Family Firm Governance, Strategic Conformity, and Performance: Institutional vs. Strategic Perspectives

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A fundamental schism divides the family firm and strategy literatures, on the one hand, and the institutional literature, on the other, regarding both the situational prevalence and the utility of conforming behavior. The first two schools, respectively, view strategic differentiation as especially common among family firms and an important source of competitive advantage. By contrast, the reasoning of institutionalists would suggest that family firms will be subject to unusually powerful motivations to conform, in part because of their pursuit of socioemotional wealth objectives. Unfortunately, the relationships between conformity and family firm governance—and, in fact, governance in general—have not been amply studied. This analysis of Fortune 1000 firms finds considerable support for the institutional perspective: family involvement is related to greater, not lesser, conformity in many aspects of strategy. Although strategic conformity related to superior returns on assets, it did not enhance firm market valuations.

Key words: family business; institutional theory; strategic conformity; corporate governance
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Introduction

The topic of organizational conformity has received a good deal of attention. Institutional theorists view mimesis and the resulting conformity in organizational practices as a means of securing legitimacy and thereby valuable resources (Ashforth and Gibbs 1990, Deephouse and Suchman 2008, Fiss and Zajac 2004, Fombrun 1996, Miller and Chen 1996, Thornton and Ocasio 2008). Strategy theorists, on the other hand, mostly view conformity in a firm's competitive practices as well as its resource profile as limiting. They contend that interfirm differences, not similarities, create competitive advantages (Chen and Hambrick 1995, Porter 1996, Teece et al. 1997, Wernerfeldt 1984).

This research, which represents the culmination of a multifaceted stream of papers analyzing family firms in the Fortune 1000 (Le Breton-Miller et al. 2011; Miller et al. 2007, 2010, 2011), will build on the conformity literature by examining not only the performance effects of organizational conformity but, more importantly, some of its unexplored causes. One previous study has focused on demographic factors of the organization and the heterogeneity of its environment as sources of strategic conformity (Miller and Chen 1996). Others have concentrated on the impact of institutional logics on the values, goals, and even strategies of an enterprise as sources of conformity (Thornton 2004, Thornton and Ocasio 2008). Others still have discussed the roles of policing authorities such as government and social agencies (Caeldries 1996, Murtha et al. 1996). Even forces of organizational ecology and population dynamics have been used to explain mimetic behavior and conformity (Carroll and Hannan 1995). Yet the role of governance structures as sources of strategic conformity remains unexplored (Fiss and Zajac 2004).

The central argument of this research is that the identity of those owning and managing an organization will have a profound effect on the motives for conformity and, hence, on the competitive strategies and performance of their organizations. We shall argue that the governance arrangements of the organization—its ownership and its management—will drive whether institutional or strategic rationales will prevail in predicting strategic conformity.

Following an institutional rationale, we believe that in large public firms, family involvement in ownership and management—because it is viewed with suspicion by outside stakeholders (Bertrand and Schoar 2006)—will be associated with greater quests for legitimacy and therefore conformity. This suspicion may arise from the importance to many family owners of socioemotional wealth (SEW)—that is, using a firm and its resources to provide emotional and social benefits to the controlling family, often at economic cost (Berrone et al. 2010, Gómez-Mejía et al. 2011). Socioemotional wealth may take several forms: an ability to provide careers and security for current and later generations, community

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visibility and status, and even harmony within the family. The nascent SEW literature to date has provided mixed evidence on whether or not family firms conform in their strategic behavior. For example, Berrone et al. (2010) have shown family firms to conform unusually assiduously to environmental regulations in order to preserve their reputation in the community. On the other hand, Gómez-Mejía et al. (2007; 2010a, b) have found instances of SEW-driven nonconformity in family firm practices such as joining cooperatives, diversification, and research and development expenditures. The latter research, however, has been done on private companies or on smaller, less visible public firms than are the subjects of our study. We believe that these differences in the conformity consequences of SEW may be explained in part by the institutional context of the business. Specifically, whether or not the pursuit of SEW objectives elicits strategic conformity will depend on the institutional pressures brought to bear upon a company by its unorthodox governance practices and by the importance and visibility of its strategic actions to critical external stakeholders (Westphal and Zajac 1998).

Our thesis, based on institutional reasoning, is that in prominent public companies operating in transparent financial markets, nonconformity in governance—family ownership and management—may breed compensating conformity in overt strategic behavior. In such family firms, the pursuit of SEW benefits such as long-term family control and secure family careers may invite suspicion and extra scrutiny from public shareholders, investors, banks, and regulators (Fiss and Zajac 2004). That reaction must be neutralized if families are to be allowed to pursue SEW via the business. One way to do that is with visible conformity in the business practices important to these nonfamily stakeholders (Berrone et al. 2010; Deephouse 1996, 1999). Family firms may also pursue conformist strategies in order to garner respect for the family owners and managers in the business community—another possible SEW priority.

Two other research domains, also concerned with conformity, take an opposite view. The strategy literature and much of the family firm literature argue that family firms are especially apt to deviate from conformity in strategic practices and, in some cases, to benefit precisely because of that nonconformity. Many scholars of family business maintain that family firms, free from the short-term pecuniary preoccupations of public shareholders, can afford to pursue long-term goals and unique capabilities. Thus they may be especially bold in investing in the future through projects in innovation, market development, and stellar capabilities and operations (Arrègle et al. 2007, Habbershon and Williams 1999, Miller and Le Breton-Miller 2005). The strategy literature argues that nonconformity in the form of generous investments that develop unique capabilities and competitive positions will lead to superior performance (Porter 1996, Teece et al. 1997). However, some skeptics in the family business literature also claim that family executives will defy conformity, but in a different way and with opposite results. Because of managerial nepotism, entrenchment, or incompetence, they argue that family firms will lag behind or stray from tried-and-true industry practice (Bertrand and Schoar 2006; Gómez-Mejía et al. 2007, 2011; Schulze et al. 2001).

Large publicly traded family firms represent an especially useful domain for comparing the sources and consequences of institutional versus strategic rationales. Because of the kinship ties and SEW priorities of their family owners, family firms are deemed to be particularly unconventional in their governance arrangements, goals, and conduct (Berrone et al. 2010; Bertrand and Schoar 2006; Gómez-Mejía et al. 2007, 2010a, b; Morck et al. 2005; Zellweger 2007). Indeed, sometimes their very successes are held to be attributable to their strategic unorthodoxy (James 2006, Miller and Le Breton-Miller 2005), as, quite often, are their failures (Bloom and Van Reenen 2007). Any contradictory evidence that such firms conform to industry standards, and in fact do so more avidly than their nonfamily counterparts, would represent noteworthy support both for the institutional perspective and for its relationship to modes of corporate governance.

The rest of this paper will proceed as follows. We first derive understandings concerning strategic conformity from the SEW and institutional literatures, and then we relate these conditions to the governance of firms by families; in the process, we generate the core hypotheses of the paper. We then draw directly contrasting hypotheses from the strategy and family business literatures. Our hypotheses are tested on different aspects of family firm governance within a broad set of firms in the Fortune 1000.

Institutional Perspectives on Strategy

Legitimacy and Strategic Conformity

Institutionalists argue that an organization's behavior is driven by a quest for normative legitimacy from crucial regulators, suppliers of resources, or broader audiences (Deephouse and Suchman 2008, Heugens and Lander 2009, Johnson et al. 2006). Normative legitimacy may be granted by a specific regulative body, a set of stakeholders, the broader media, and even more general public audiences. An example of the first source is a state shaping legislative and competitive policies for an industry (Caeldries 1996, DiMaggio and Powell 1983). At a more general level, the media may be a source of legitimacy as they report and assess organizational conduct (Baum and Powell 1995). So might be providers of resources such as financial analysts, bankers, investors, and shareholders who must approve of the conduct of the firms they finance (Fligstein 2002, Fiss and Zajac 2004, Zajac

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and Westphal 2004). Finally, society at large may be a source of legitimacy.

A primary antecedent of legitimacy is conformity (Deephouse 1996, Westphal et al. 1997). As a practice becomes more prevalent and, thus, implicitly more accepted, it gains greater legitimacy and induces further mimetic behavior (Carroll and Hannan 1995, Strang and Soule 1998). According to Suchman (1995, p. 587), the best source of legitimation is to "conform to environments." Conformity, in essence, has been defined as doing what the majority are doing (Deephouse 1999, Miller and Chen 1996, Zajac and Westphal 2004). Hence the quest for legitimacy may be said to lead to conformist strategic behavior. Indeed, some key studies of legitimating conformity measure it as the (negative) deviation of a firm's practices from industry medians (Deephouse 1999, Miller and Chen 1996).

The consequences of conformity are held by institutionalists to be positive outcomes—enhanced resources (Cohen and Dean 2005, Higgins and Gulati 2006), better stock market prices (Zuckerman 2000), and more support from stakeholders (Choi and Shepherd 2005). For owners of family firms, conformity also may be embraced to pursue SEW priorities such as family control and management, as well as status and legitimacy for the family in the business community. These objectives may constitute for a family rewards in themselves, irrespective of any financial gain (Berrone et al. 2010).

Why Large Public Family Firms Are Especially Apt to Seek Legitimacy

Although all organizations must pursue some forms of legitimacy, there are particular contingencies that may make that quest more pressing and compelling. Therefore, some parties are especially likely to seek legitimacy. Organizations that are highly visible are inclined to pursue legitimacy: their deviations and misdeeds may be broadly noticed and therefore particularly penalizing (Baum and Powell 1995). Similarly, organizations that are in some sense unorthodox or unusual may have to balance that unorthodoxy with more exacting conformity in a different realm (Suddaby and Greenwood 2005). Finally, organizations that lack resources or rely on an uninterrupted stream of key resources may be especially driven to appear legitimate to those upon whom they depend (Deephouse and Suchman 2008, Miller and Chen 1996, Pfeffer and Salancik 1978).

We believe that major publicly traded family businesses—those in which a family has an influential ownership stake and/or managerial role—will fall into several of these categories. Indeed, the family ownership and management of large publicly traded firms may contribute to both their visibility and their perceived unorthodoxy and riskiness. It may also constrain their human and financial resources.

Because many family firms prioritize socioemotional wealth objectives (SEW)—one aspect of nonconformity—they will be more likely than other firms to conform in more obvious ways to compensate (Berrone et al. 2010). Family firms prize outcomes such as family control of the business (Gómez-Mejía et al. 2011), executive positions for family members (Bertrand and Schoar 2006), and security for future generations (Chrisman et al. 2005). Each of these aspects of SEW throws into question the legitimacy of family enterprise in the eyes of key external stakeholders, and thus they may reinforce the need to embrace conformity in manifest strategic behavior to dispel suspicions or garner status among those stakeholders. Moreover, strategic conformity may be pursued simply to garner respect and status for family owners and their managers—an SEW priority pursued without pecuniary intention.

Our study will focus on firm behavior that should be of greatest concern to those external stakeholders most responsible for enabling a family to pursue its socioemotional objectives. In the case of large publicly traded companies, these are nonfamily shareholders and major investors, lenders, and financial regulators. When these parties assess the robustness of a company's strategy, they are typically concerned with several classes of decisions: Is the firm operating efficiently? Is it investing in new products and promotion? Is it taking too many risks? And is it paying adequate dividends given its situation? Family firms, in particular, have been criticized as being unorthodox—as falling short on every one of these visible strategic dimensions—each of which will be studied in this research (Bloom and Van Reenen 2007, Morck et al. 2005, Villalonga and Amit 2006). Thus strategic conformity for our purposes is defined as adherence to industry norms (i.e., proximity to industry medians) in investments in innovation and promotion, capital intensity, dividend policy, financial structure, and risk-taking behavior.

There are several SEW priorities that may induce strategic conformity in many family firms. In the next section, we identify specific *types* of family involvement that relate to different SEW priorities in the business.

A core SEW objective relates to family altruism—catering to family and friends at the possible expense of the business (Schulze et al. 2001, 2003). Family loyalties may involve providing unmerited rewards from the business to offspring or to friends of the family, or even hiring and keeping on incompetent employees. Some family firms have been shown to contract with cronies to fulfill family obligations via the business (Bertrand and Schoar 2006, Morck et al. 2005). Moreover, where there are multiple family members involved in the business, firm resources may be used to placate discontented relatives (Schulze et al. 2003). In such cases, emotions and personal loyalties may get in the

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way of sound business practice (Gómez-Mejía et al. 2007, 2011; Le Breton-Miller et al. 2011). Regardless of whether these practices are widespread, they have been publicized by myriad articles in the popular press. That exposure alone can subject family firms to more scrutiny and distrust than other organizations (Miller and Le Breton-Miller 2005). Once again, to counterbalance negative public perceptions, family firms may conform assiduously along the more visible dimensions of strategy (Deephouse and Suchman 2008).

Another family SEW objective is to augment family reputation via the business (Berrone et al. 2010). Family visibility is especially prominent in large publicly traded family companies, which often advertise their family roots and association (e.g., SC Johnson represents itself as "a family company" in its logo and advertisements). It is not uncommon for such firms to have family executives serving as visible public figureheads. Also, having the family name or reputation associated with the company can be a powerful incentive to avoid nonconforming behavior. Indeed, many family executives are convinced that the security and reputation not only of themselves but, more importantly, of their children rely on the "generally acceptable" conduct of the business, even if this does not contribute to profits (Berrone et al. 2010, James 2006).

Other SEW priorities may deprive family firms of financial and managerial resources (Bertrand and Schoar 2006). Financial scarcities may arise as families strive to maintain control of their firm for later generations; that limits their sources of public capital (Ward 2004). Family firms often will not issue new shares for fear of losing control of their company. Another challenge is a higher cost of capital: family firms typically must pay higher interest rates than their peers (Morck et al. 2005). There is, in addition, a potential shortage of managerial resources, as any impulse toward nepotism shrinks the field of competent managers and discourages nonfamily executives (Bennedsen et al. 2007, Mehrotra et al. 2010). Organizational resource dependence and institutional theorists argue that firms lacking in resources must be especially responsive to their environment and its demands (Caeldries 1996, Pfeffer and Salancik 1978). For family firms this may mean complying with unusual diligence to industry norms and practices.

In short, the above SEW priorities as well as their consequences for organizational resources may drive conformity in large public family firms.

Hypothesis 1 (H1). *Large public family firms will adhere more closely to industry practices in publicly visible aspects of strategy than nonfamily firms.*

We emphasize that our predictions of conformity are intended to apply only to visible strategic behavior of major public family firms. It is such behavior that key stakeholders such as shareholders, investors, lenders, and regulators are aware of and that may induce them to accept family governance. It is from those stakeholders whom many family owners seek legitimacy, status, and prestige. Things may be very different in private family firms or those less visible to the public, where the pursuit of SEW may well promote strategic unorthodoxy and there are no outside stakeholders to censure that behavior (Arrègle et al. 2007; Gómez-Mejía et al. 2007, 2010a).

Some Qualifications: Degrees and Types of Family Involvement

Not all family firms are the same: there may be vast differences in the governance roles family members play in the business. Le Breton-Miller et al. (2011) argued that some family firms were particularly likely to be subject to agency conflicts. Specifically, they suggested that where firms and executives were "embedded" in the family—that is, where there was a *major family presence in ownership, board membership, and management, especially after the first generation*—firms were more apt to place a family agenda before a business agenda. They would extract resources from the business to be able to cater to family financial and security needs. That behavior, which is quite consistent with family SEW priorities (Gómez-Mejía et al. 2007), risks coloring investors' and other stakeholders' perceptions of such businesses, and it may motivate family members to conform in their more visible strategic behavior to enhance firm legitimacy and thereby secure access to resources. In short, we believe that these indicators of family embeddedness may result in strategic conformity.

Family Control. As noted, family control may be a key SEW priority. However, family owners can only influence strategies when they have enough votes to shape policy at the board level. Thus the percentage of votes controlled by the dominant owning family will be positively related to conformity. Where families control too few votes to influence the business, their pursuit of SEW via the business is less feasible and less likely to influence operations. Therefore the suspicions of public investors and other stakeholders' will be allayed, and there would be less *need* for the firm to conform. Moreover, the family, having little power in the firm, would be *unable* to impose conformist practices—even if it wanted to do so. On the other hand, where the family control of votes is significant, conformity will increase. First, investors will be wary of the potential ability of family owners to impose a family SEW agenda on the business. Conformity in strategic practice might relieve those fears (Westphal and Zajac 1998). Also, the family will have the power to implement conformist practices. In short, conformity is expected to increase with the percentage of family control of the company. However, after a certain point, when a family dominates control of their firm, they may no longer feel as much pressure to please

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outside stakeholders by conforming. They may not need to curry favor with less powerful owners and can run the firm to suit unorthodox family preferences rather than market norms (Gómez-Mejía et al. 2007, Morck et al. 2005). In short, we anticipate an inverse U-shaped relationship between family control and strategic conformity: at first, conformity will increase with vote control, and then it will decrease.

Hypothesis 2A (H2A). *There will be an inverse U-shaped relationship between the percentage of family control and strategic conformity.*

Family Management. As noted, family management is an important SEW priority in some family businesses. Where family firms are run by family members, conformity is especially apt to occur. This is because family management is often seen by skeptical investors and other important stakeholders to be a product of parochialism, nepotism, and birthright rather than professional competency (Claessens et al. 2002, Morck et al. 2005). Indeed, family executives' presumed ability to entrench themselves in chief executive officer (CEO) positions despite lackluster performance and their extremely secure job tenures are viewed with suspicion by investors (Volpin 2002). Thus family executives may feel a need to justify themselves through conformist behavior, as any of their deviations from conventional practice may be regarded as particularly suspect.

Hypothesis 2B (H2B). *Strategic conformity will be more likely where a family member serves as CEO.*

Later-Generation Family Executives vs. Founders. Gómez-Mejía et al. (2007) have found, in their study of smaller, private family companies, that SEW was more likely to be pursued in the first generation where primary family ties between parents and offspring or siblings are close, and their preservation assumes primacy over business performance. They have shown that this pursuit of SEW tends to fall off in later generations, where cousins are less connected emotionally and where the business becomes a more important consideration than the family. Certainly, these findings appear to be reasonable for small private firms. However, we believe that in large publicly traded companies, things will be quite the opposite. Specifically, *later*-generation firms will be more apt than founder-owned and managed businesses to conform in strategy to garner legitimacy from skeptical public investors.

In public businesses, it is later-generation executives who are most likely to owe their positions to family membership and thus are most apt to have been chosen parochially rather than on the basis of competency. It is they who are most prone to being scrutinized by the public because of the advantages they have secured from nepotism (Bertrand and Schoar 2006, Morck et al. 2005). It is they too who may feel especially beholden to the family and sense the need to secure its legitimacy through conforming behavior. Later-generation family executives also are likely to have less talent than the founders of a major public company and thus may feel it safer not to stray too far from industry convention.

By contrast, founders of large public firms will have proven their competency, having made pivotal contributions in creating a substantial enterprise. Indeed, founders are typically more entrepreneurial than their successors (James 2006, Landes 2006). Given their track records, their expertise of the business is unlikely to be questioned by outsiders (Volpin 2002). Founders are also likely to be emotionally attached to the business they have created and to its many stakeholders, and they are more likely to identify themselves as business builders than as family patriarchs (Le Breton-Miller et al. 2011). They thus are less likely to be dictated to by market norms or by a drive to seek legitimacy through strategic conformity.

Hypothesis 2C (H2C). *Strategic conformity will be higher in family firms in which a later-generation family member serves as a top executive*; *that will not be true where a founder serves as a top executive.*

Breadth of Family Involvement. The chances that SEW will become an important objective will increase as more family directors, officers, and generations assume key positions in the firm. Family members acting as officers, directors, and owners may enhance family impact on the business. They may bring with them family agendas, family loyalties, and other SEW priorities (Berrone et al. 2010, Gómez-Mejía et al. 2007, Le Breton-Miller et al. 2011). These may signal or be manifested in governance practices such as nepotism, entrenchment, cronyism, family control, and other behavior viewed with suspicion by the investment community and other suppliers of resources (Morck et al. 2005; Gómez-Mejía et al. 2010a, b). There is also a greater possibility of family conflicts as the number of family members increases. These conflicts are often settled by altruism toward kin that comes at the expense of the business (Schulze et al. 2001, 2003). The public perception of these issues may attract scrutiny from investors and other stakeholders, and thereby increase a family's desire to justify their presence in the business and allay skepticism via strategic conformity.

Hypothesis 2D (H2D). *Strategic conformity will grow with the number of family directors, officers, and generations present within the firm.*

Conformity and Performance

According to institutional theory, a strategy becomes legitimate if it is acceptable within its institutional field (DiMaggio and Powell 1983). Firms whose strategies fall outside this range of acceptability are subject to

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challenge and penalties. Conversely, conformity with industry norms will secure greater legitimacy and hence potentially more access to resources such as capital, talent, and clients. This may enhance organizational performance (Baum and Oliver 1991, Choi and Shepherd 2005, Deephouse 1999, Higgins and Gulati 2006, Miller and Chen 1996, Ruef and Scott 1998). In short, conformity may generate superior financial returns.

As noted, where firms lack legitimacy, they have a harder time attracting resources from investors, customers, suppliers, and regulators (Deephouse and Suchman 2008, DiMaggio and Powell 1983). Stakeholders or potential stakeholders who view an organization's strategy as aberrant may be reluctant to provide resources, or they may pose restrictive terms and demand risk premiums to compensate for the greater uncertainty (Miller and Bromiley 1990). Moreover, where a firm has a poor reputation, it may be unable to entice reliable partners, workers, and investors (Baum and Oliver 1991). Nonconformists may also have difficulty in attracting and retaining good executives and directors, and that too may hurt performance (Hambrick and D'Aveni 1992). Deephouse (1999) provides examples from the banking sector of firms that faced bad publicity, censure, and weaker performance because of their unorthodox financial portfolios. Other research also has shown support for a positive relationship between conformity and performance—for example, augmented stock prices, initial public offering valuations, and stakeholder support (Baum and Oliver 1991, Choi and Shepherd 2005, Deephouse 1999, Higgins and Gulati 2006, Miller and Chen 1996, Ruef and Scott 1998).

It can be argued that this positive relationship between conformity and performance will be especially pronounced among family businesses. First, as noted, their unconventional governance may make them targets of suspicion from stakeholders (Morck et al. 2005)—a reaction that might be neutralized through enhanced conformity. Second, family firms, because of possible managerial and financial resource shortages, may be harmed by the withholding or exploitative pricing of those resources by cautious providers (Bennedsen et al. 2007, Mehrotra et al. 2010). They also may require more robust partnerships, talent, and financial backing to address their special needs (Miller and Le Breton-Miller 2005).

Hypothesis 3 (H3). *Strategic conformity will enhance the performance* (A) *of all firms—and* (B) *especially family firms.*

As we have argued, however, family owners and executives may conform to be able to control and manage their firm and for purposes of garnering status and respect for themselves in the business community—all aspects of socioemotional wealth. These rewards may be pursued for their own sake rather than for any economic benefit—an important stipulation of SEW scholars (Berrone et al. 2010, Gómez-Mejía et al. 2007). Indeed, this nonfunctionalist perspective is consistent with some of the original premises of institutional theory (Meyer and Rowan 1977).

Alternative Perspectives: Strategic Management and Family Firm Literatures

The above arguments paint a positive picture of strategic conformity for family firms and its likelihood within the family business setting. Yet there are two streams of thought that provide strongly dissenting views. Most of the family firm literature maintains that family firms *do not* conform—and indeed are *less apt* than their nonfamily firm peers to conform—to industry norms in strategy. Also, the strategic management literature argues that differentiation, unique market positioning, and unique resources and capabilities—not conformity—are the best ways for firms to respond effectively to their environments and to outperform.

Family Business Perspective

Take first the *family business literature*, which highlights the distinctiveness of family firms and their strategies. A good deal of that literature posits that family values and requirements, preferences regarding offspring, and independence from shareholder pressures enable and motivate family firms to be different from their peers (e.g., Habbershon and Williams 1999, Le Breton-Miller and Miller 2009, Ward 2004). Family business scholars with a positive view of their subjects argue that because family firms need not concern themselves with the preoccupations of shortsighted owners, they can pursue *uniquely* long-term projects in capability building, especially far-ranging investments in infrastructure and personnel, and unusually aggressive and persistent new product and market development (Arrègle et al. 2007; Harris et al. 1994; James 1999, 2006; Miller and Le Breton-Miller 2005; Miller et al. 2008, 2009; Sirmon et al. 2008; Zellweger 2007). Using anecdote, they also suggest that family firms are more endowed with managerial talent, social capital, and financial resources than their nonfamily rivals (Arrègle et al. 2007, Chrisman et al. 2009, Habbershon and Williams 1999, Habbershon et al. 2003, Miller and Le Breton-Miller 2005). The bulk of that literature has been written by scholars in the management literature.

By contrast, family business scholars who have a negative view of family firms often come from the economics or finance disciplines. They suggest that because of family nepotism, parochialism, and entrenchment, family executives are less competent, more likely to appropriate firm assets for personal use (Morck et al. 2005, Morck and Yeung 2003), more risk averse (Le Breton-Miller et al. 2011, Schulze et al. 2001), and less apt to

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invest in innovation and competency creation (Bertrand and Schoar 2006, Bloom and Van Reenen 2007, Gómez-Mejía et al. 2010a).

Certainly, it is possible that both these positive *and* negative views of family business might be true. However, in either case, these businesses stand out: they are more innovative, more farsighted, and more proactive than their industry peers, or they are stagnating drudges that exist in the past and fail to keep up with industry trends and other developments in their environment. In short, family firms will be *less* likely to conform to the strategic norms of their industries.

Alternative Hypothesis 1. *Large public family firms will exhibit more nonconformity to industry practices in visible aspects of strategy than nonfamily firms.*

Alternative hypotheses to H2A–H2D regarding the percentage of family votes, family CEOs, family involvement, and family generations will also be tested. All of these dimensions represent aspects of family influence on a business and hence, according to this literature, potential sources of strategic nonconformity. However, some authors in the family business literature do make distinctions about the behavior of different family generations. For example, James (2006) and Gersick et al. (1997) argue that first-generation firms will be more entrepreneurial than their rivals and that later-generation firms will be more conservative. Either of these tendencies would contradict Hypothesis 2C because both represent deviations from conformity.

Strategic Views

Another significant split arises between institutional and strategic perspectives in the expected performance repercussions of strategic conformity (Deephouse 1999, Miller and Chen 1996). In contrast with the institutional literature, the strategy literature is far more skeptical about the merits of conformity. This can be seen in three major streams of scholarship: competitive analysis, the resource-based view, and the dynamic capability perspective. The first view argues the merits of discovering new niches or segments of a market or industry that are relatively uncontested and where firms enjoy superior positions vis-à-vis customers, suppliers, and competitors (Porter 1980). Such markets may well require original means of exploitation, as otherwise there would be more rivals present (Porter 1996). To succeed, such forms of exploitation typically require differentiation strategies and unique resource allocation patterns that depart from competitive norms. In short, by not conforming—by being different—a firm is able to enter market niches with fewer competitors or to adopt differentiated strategies that confer competitive advantage (Baum and Mezias 1992, Deephouse 1996). Conversely, conformity might limit that capability.

The resource-based view argues that firms possessing resources that are rare, valuable, and inimitable can enjoy superior returns. It thus places much emphasis on originality—unique resources or skills that allow an organization to differentiate itself via valuable, inimitable assets or capabilities. This is also true for the dynamic capability theorists who, again, make the connection between specific types of *unique* knowledge, competency building, and performance (Barney 1991, Miller and Shamsie 1996, Teece et al. 1997).

The family firm literature suggests that family firms will only do well if and only if they can differentiate themselves from their rivals to take advantage of distinctive attributes such as particularly astute marketing and innovation, especially effective operations, and generous investment in the future (Arrègle et al. 2007, Miller and Le Breton-Miller 2005, Miller et al. 2008). Conformity along many of our strategy dimensions—for example, research and development (R&D) and marketing expenditures, leverage, capital intensity, and dividend payouts—might well restrict such differentiation.

Alternative Hypothesis 3. *Strategic conformity will erode performance* (A) *for all firms and* (B) *especially for family firms.*

Figure 1 presents an overview of our arguments, and Table 1 summarizes our hypotheses.

Method

Sample

Our sample consists of the Fortune 1000: 500 industrials and 500 service firms. We analyzed data on the 898 companies with complete publicly accessible data for the years 1996 to 2000. Among these, we identified 141 lone founder firms with no family members in the business and 263 family firms in which *multiple* family members served or have served as officers or major owners (of which 81 were first-generation firms, that is, firms in which there were no family members beyond the founder generation).

Data

Variables were assessed in two stages and at two levels. First, data were compiled on individual officers and directors, 5% blockholders, and large institutional investors. Data on vote control, family positions as founders, executive officers, and board members were obtained from at least three sources for each company: individual proxies (which were the primary and definitive source of data), Hoover's, and company websites. Wherever proxies contained insufficient information on the familial relationships between board members and managers, or officers' relationships with the founder, companies were approached directly. Data gathering from proxies was conducted by a team of five research

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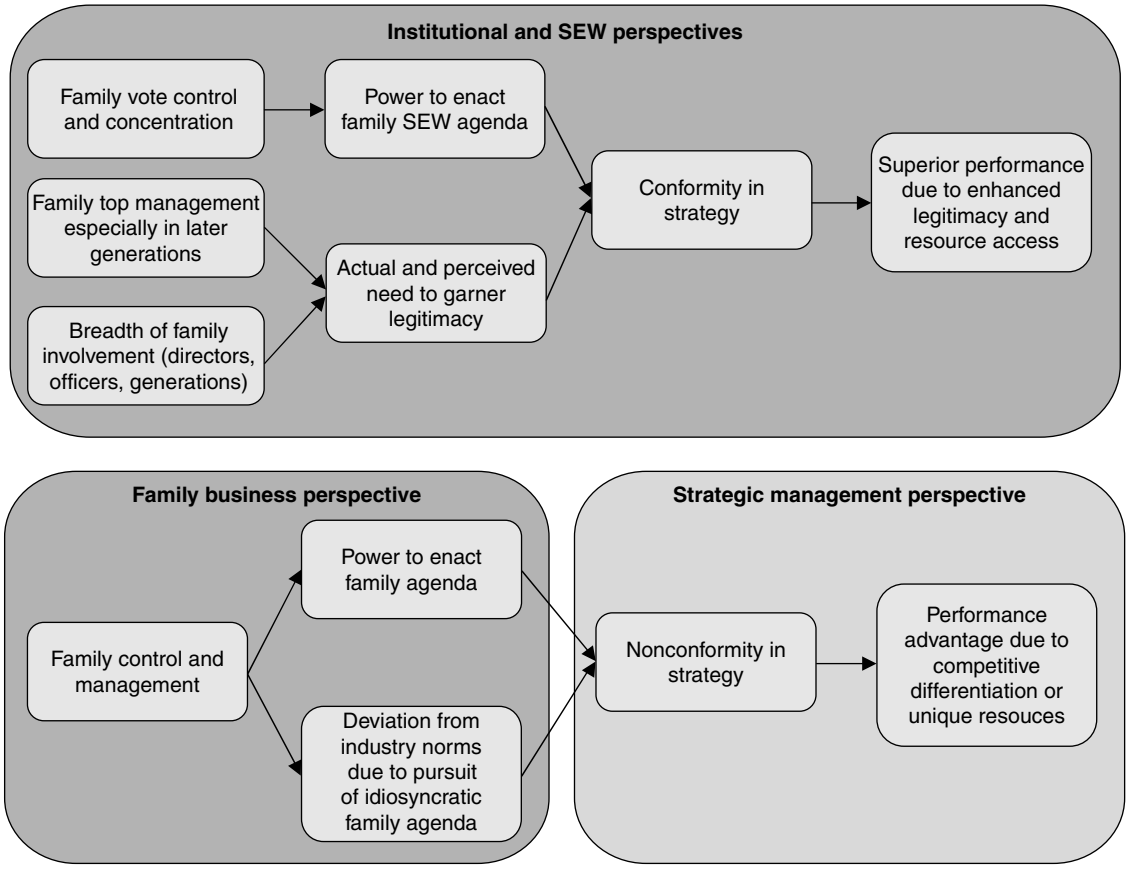
Figure 1 Alternative Perspectives of Governance, Conformity, and Performance



assistants and the authors, who worked on collecting data for almost two years. Because some families controlled firms via their ownership of banks or other organizations, and because of name changes brought about by marriage, significant training was required to render each research assistant proficient in coding the proxies. One half of all proxies were scored double-blind by two raters to ensure accuracy. After the initial two weeks of training, raters agreed over 95% of the time on items concerning family management and generation. For family ownership and votes, raters agreed within 2% approximately 85% of the time. Any disagreements were resolved via further data gathering or analysis with the participation of the authors.

Consistent with Villalonga and Amit (2006) and Miller et al. (2007), we designated the focal family as the one with the most votes. In totalling family votes, we included shares of co-trustees of family trusts who were directly employed by the family. Data on individuals were aggregated to the firm level, at which we could also collect information on strategy, governance, and market performance. Accounting data were drawn from

Table 1 Summary of Hypotheses

	Institutional and SEW expectations	Family business and strategic expectations
Implications of family governance		
• Family management and control (H1)	Positive relationship to conformity	Negative relationship to conformity
• Family vote control (H2A)	Inverse U-shaped relationship to conformity	Negative relationship to conformity
• Family top executive (H2B)	Positive relationship to conformity	Negative relationship to conformity
• Family top executive—later generation (H2C)	Positive relationship to conformity in later generations	Negative relationship to conformity in later generations
• Family presence as directors, officers, generations (H2D)	Positive relationship to conformity	Negative relationship to conformity
Performance implications of conformity		
• Performance (H3A and H3B)	Positive return and valuation for all firms (H2A)—especially for family firms (H2B)	Negative return and valuation for all firms—especially for family firms

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Compustat, and market performance data were obtained from the Center for Research on Security Prices (CRSP).

Variables and Models

Dependent Variables. Following Deephouse (1996) and Miller and Chen (1996), we measured strategic conformity with absolute deviations of a firm's scores from industry medians. We employed both single-variable measures of conformity as well as a composite formative index (Diamantopoulos and Winklhofer 2001). The individual variables consisted of measures taken from six distinct subcategories of business-level strategy: production or operations strategy, product research and development, marketing, financial strategy, reinvestment policy, and risk orientation. These measures consist, respectively, of capital intensity, R&D to sales, advertising to sales, financial leverage, dividend policy, and unsystematic (i.e., idiosyncratic) risk (Table 2 provides the definitions of these variables). Capital intensity reflects the extent to which a firm utilizes capital equipment versus labor: it is assessed as fixed assets to sales and is sometimes an indicator of productivity and efficiency. Research and development expenditures for product and process renewal are reflected by the R&D to sales ratio. This variable reflects the attention firms pay to enhance their product lines and capabilities. The advertising and promotion expenses to sales ratio assesses the effort a firm places on marketing its products and boosting market share or client satisfaction. Financial leverage (debt-to-capital) assesses the extent to which a firm relies on debt to finance its operations or its expansion. The dividend expense to common equity ratio reflects the degree to which the firm reinvests its profits to enhance the business—differentiating between growth and harvest strategies. Finally, unsystematic risk gauges the degree to which a firm's share prices fluctuate above and beyond those of its industry. It is typically a product of fluctuations in firms' earnings or earnings prospects caused by outcomes from important strategic initiatives. Collectively, the six variables provide broad coverage of strategic orientation: in all cases, conformity is assessed against industry medians at the three-digit Standard Industrial Classification (SIC) levels for each of these variables. Although these variables do not encompass conformity in important fine-grained aspects of strategy such as precise resource allocation decisions and corporate culture, they are, as argued earlier, the dimensions most visible to the external stakeholders of a publicly traded organization and thus especially relevant to our hypotheses.

All variables were assessed for skewness and kurtosis and, where necessary, were log transformed. Outliers were converted to their respective variable's 99th percentile or 1st percentile, as appropriate for normalization. Following Deephouse (1999), deviation scores were computed as the absolute value of the number of standard deviations from the median. There were few missing values for all variables, except for R&D and advertising, where missing values were coded as 0 because firms were required *by law* to report the former expenditures on their 10-K filings whenever they were significant.

To derive our composite nonconformity index, the six deviation scores were standardized and summed. The intercomponent correlation Cronbach alpha was 0.29, which was appropriate given the multidimensional nature of a formative index in which nonredundant components are intended to contribute in summation to the overall level of nonconformity (Bollen and Lennox 1991, Diamantopoulos and Winklhofer 2001). Thus it is important that the items of the index be relatively independent and make distinct and cumulative contributions to prediction. Formative indexes are to be contrasted with reflective scales, which represent unidimensional constructs and thus whose components should correlate strongly. Unlike components of constructs, components of formative indexes are measured without error (Diamantopoulos and Winklhofer 2001).

To establish the robustness of our results, we display findings for each component of the index (see Table 7). *Results were shown to be broadly consistent across the different components of the index.* We also computed a reflective index by extracting the first principal component in a factor analysis of the four component variables (this factor explained four times more variance than any other). We then reran all analyses on the factor scores. Results for the factor replicated those of the formative index (except for the number of family officers). These results are available from the authors upon request. Performance was assessed as return on assets and Tobin's q.

Independent Variables. We employed a variety of governance variables to assess family ownership, as well as managerial and generational involvement. First, a dummy variable indicating the presence of one or more family officers, directors, or large (5%) owners was used to test H1. Family control was assessed by the percentage of voting shares controlled by the family (for H2A). The presence of a family CEO was measured by a dummy variable (for H2B). The presence and generational status of family owners and officer categories (CEOs, chairmen) also were determined (for H2C). Finally, involvement of family in the business was assessed according to the number of family officers, number of family directors, and family generations (for H2D). These characterizations of family governance correspond to some of those on the F-PEC (family influence on power, experience, and culture) scale used on studies of smaller family firms (Klein et al. 2005), particularly in their dimensions of ownership

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and management. However, we could not measure that scale's cultural dimensions in this study, nor was it desirable for us to combine different aspects of family governance because these were expected to have different effects.

Control Variables. Where previous studies suggested influences on our dependent variables, these were incorporated as controls into our models. It was especially important to control for age, size, industry, and stock price beta as each of these variables might affect both firm conduct and performance (Anderson and Reeb 2003, Miller et al. 2007, Villalonga and Amit 2006). Thus our models control for firm age, the natural log of sales, industry at the three-digit SIC level, and the beta measure of market volatility (Miller et al. 2007). Numerous governance conditions may mitigate family influence. These include significant (5%) ownership by outside blockholders, as well as the presence (percentage) of inside directors and the use of supervoting shares by the family to maintain control (Anderson and Reeb 2003, Miller et al. 2007, Morck et al. 2005, Villalonga and Amit 2006). We also included as controls a firm's level of diversification as reflected by the Herfindahl index of its distribution of revenues across industry sectors, and for Table 6, industry performance medians at the three-digit SIC level. The variables are listed and defined in Table 2, along with their sources. Descriptive statistics are presented in Table 3.

Analyses

Tables 4, 5, and 6 present our time-series, cross-section models, and report results from generalized estimating equation models (Zeger et al. 1988). These panel models were especially appropriate given the temporal stability of the governance predictor dummies (Liang and Zeger 1986). They also incorporate Huber–White clustered standard errors, control for unobserved firm fixed effects, and adjust for firm-specific autocorrelation (Peterson 2009). Because the models are not maximum likelihood, the chi-square measure of overall goodness of fit measure is provided. All models are statistically significant at or beyond the 0.0001 level. Coefficients for predictor dummies reflect comparisons with the complement of Fortune 1000 firms that do not share the attribute (e.g., family founder CEO firms versus all other firms in the sample). The exceptions were the models of Table 5 (relating to H1C), where in testing whether later family generations are more associated with conformity than first generations the comparison was only *within* the sample of family firms. We always ran separate models for any predictors that intercorrelated highly to avoid problems of multicollinearity between the different aspects of family management and involvement. In Table 6 we assess the impact of conformity on performance. Conformity index variables were lagged one year in predicting performance.

To establish the robustness of our findings concerning our composite conformity index, we report results for its individual components in Table 7. There was reasonable convergence among these. We also ran all analyses with a four-component index, dropping dividends and advertising—all major results were replicated. The same was true when we used two-digit instead of three-digit SIC controls. In testing our hypotheses, there was also convergence in the findings across many of the different measures of family ownership and managerial and generational involvement. Finally, to establish the robustness of our panel methodology we ran ordinary least squares models employing five-year averages of the data for firms that did not change their ownership during the time frame of our study. These again replicated all of the panel results. In summary, our findings were consistent across most components of our conformity index, different operationalizations of that index, different family governance predictors, and different multivariate methods.

Supplementary Analyses. Some have argued that firms doing poorly might be more apt to conform to industry standards than those doing well (Miller and Chen 1996). There might be more institutional pressures on such companies to follow the majority. We tested this notion by using one-year lags of Tobin's q and return on assets as predictors in the models of Table 4. Results were nonsignificant for Tobin's q, even at the 0.10 level, and ROA related positively, not negatively, to conformity. In no case did these mixed and weak performance results alter the findings for our predictors of Table 4.

To reduce the effect of endogeneity between conformity and performance, we employed two-stage least squares instrumental variable regressions. An instrument for lagged conformity was obtained by regressing that variable on the lagged versions of the exogenous variables of Table 6. The results are presented in the appendix. Although the possibility of endogeneity cannot be ruled out, the significant coefficients for ROA reported in Table 6 became more significant under the two-stage analysis, and the nonsignificant coefficients for Tobin's q remained nonsignificant. Results were consistent across both random effects and fixed effects models.

Findings

Conformity

It is clear from Tables 4, 5, and 7 that Hypothesis 1, based on institutional reasoning, receives strong and broad support, whereas Alternative Hypothesis 1, based on the family firm literature, receives no support whatsoever. Overall, family firms are more likely than their nonfamily counterparts to exhibit strategic conformity, and the degree of conformity increases with the level of family involvement.

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Table 2 Variable Definitions

Variable	Definition
Family dummy	A binary variable, 1 indicates presence of one or more family insiders (officers or directors) or large (5%) owners at the same time or as descendants of the founder. *Source*: Firm proxy.
Family votes %	Percentage of votes controlled by all family members in the business. *Source*: Firm proxy, biographies, Hoover's, firm websites.
Family vote concentration (Herfindahl)	The Herfindahl index of concentration of votes across members of the controlling family. *Source*: Firm proxy.
Family CEO	A binary variable, 1 indicates that a family member holds the title of CEO. *Source*: Compact disclosure, firm proxy.
Family founder CEO	A binary variable, 1 indicates that a family member is the business founder and currently holds the title of CEO. *Source*: Compact disclosure, firm proxy.
Family founder chairman	A binary variable, 1 indicates that a family member is the business founder and currently holds the title of chairman of the board. *Source*: Compact disclosure, firm proxy.
Family later CEO	A binary variable, 1 indicates that a family member beyond the first generation holds the title of CEO. *Source*: Compact disclosure, firm proxy.
Family later chairman	A binary variable, 1 indicates that a family member beyond the first generation holds the title of chairman. *Source*: Compact disclosure, firm proxy.
Number of family directors	This numeric variable specifies the number of family members serving on the board of directors. *Source*: Firm proxy, biographies, Hoover's, firm websites.
Number of family officers	This numeric variable specifies the number of family members listed as executives on the proxy or as vice presidents or higher on company publications. *Source*: Firm proxy, biographies, Hoover's, firm websites.
Generations dummy	A binary variable, 1 indicates a family firm with multiple family members present beyond the first generation. *Source*: Firm proxy, biographies, Hoover's, firm websites.
Conformity index	1 minus the sum of standardized scores of standard deviations from industry medians of capital intensity, R&D, leverage, advertising, dividends, and unsystematic risk. *Source*: Compustat.
R&D nonconformity	Number of standard deviations from industry median of research and development expenses divided by total sales. *Source*: Compustat.
Capital intensity nonconformity	Number of standard deviations from industry median of fixed assets divided by total sales. *Source*: Compustat.
Leverage nonconformity	Number of standard deviations from industry median of the sum of long-term debt plus debt in current liabilities divided by the sum of long-term debt plus debt in current liabilities plus the book value of common equity. *Source*: Compustat.
Advertising nonconformity	Number of standard deviations from industry median of advertising expenditures divided by total sales. *Source*: Compustat.
Dividend nonconformity	Number of standard deviations from industry median of dividends divided by common equity. *Source*: Compustat.
Unsystematic risk nonconformity	The risk of a price change in firm market value resulting from firm-specific circumstances: Derived by regressing firm-specific return on a value-weighted return of the market as a whole and retaining the root mean square error from the regression. *Source*: CRSP.
Market valuation (Tobin's *q*)	The ratio of the firm's market value to book value, calculated as follows: (common shares outstanding × calendar year closing price) + (current liabilities − current assets) + long-term debt + liquidating value of preferred stock), all divided by total assets. *Source*: Compustat.
Return on assets (ROA)	Earnings before interest, taxes, depreciation, and amortization divided by total assets. *Source*: Compustat.
Beta (market risk)	The average value-weighted returns in which the firm's daily returns are regressed against the returns of the overall market. *Source*: CRSP.
5% owners	The ownership percentage of all nonfamily or non-lone-founder blockholders who hold a 5% or greater ownership stake. Created by summing the nonfamily or nonfounder 5% or greater ownership stakes and dividing this by the firm's total shares outstanding. *Source*: Compact disclosure, Compustat, firm proxy.
Inside directors ratio	The ratio of inside directors to total directors. *Source*: Firm proxy.
Firm age	The difference between the year 2000 and the firm's founding year. *Source*: Firm proxy, firm websites, LexusNexis, Hoover's.
Firm size (log of sales)	The natural log of annual net sales. *Source*: Compustat.
Supershares	A dummy variable set equal to 1 when a firm has a vehicle in place that creates a differential source of voting power (e.g., differential voting over various classes of stock). *Source*: Compact disclosure, firm proxy.
Industry segment Herfindahl: Firm diversification	Concentration of sales within SIC segments. The sum of the squares of the percent sales in each three-digit SIC segment. Reverse indicator of diversification. *Source*: Compustat segment data.
Industry median ROA	Median three-digit SIC industry earnings before interest, taxes, depreciation, and amortization divided by total assets. *Source*: Compustat.
Industry median (Tobin's *q*)	Median three-digit SIC ratio of the firm's market value to book value (as calculated above). *Source*: Compustat.

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Table 3 Descriptive Statistics

	Mean	SD	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
1 *Family dummy*	0.29	0.46	1.00														
2 *Family votes %*	0.07	0.16	0.61	1.00													
3 *Family CEO*	0.15	0.36	0.64	0.55	1.00												
4 *Family founder CEO*	0.04	0.20	0.31	0.29	0.48	1.00											
5 *Family later CEO*	0.11	0.31	0.54	0.45	0.83	−0.08	1.00										
6 *Family founder chairman*	0.07	0.25	0.40	0.36	0.46	0.79	0.02	1.00									
7 *Family later chairman*	0.13	0.34	0.60	0.43	0.61	−0.09	0.75	−0.11	1.00								
8 *No. of family officers*	0.46	0.98	0.69	0.61	0.69	0.37	0.56	0.49	0.59	1.00							
9 *No. of family directors*	0.63	1.13	0.83	0.71	0.63	0.33	0.51	0.43	0.54	0.77	1.00						
10 *Generations dummy*	0.27	0.45	0.92	0.54	0.56	0.14	0.55	0.22	0.62	0.64	0.78	1.00					
11 *Family vote concentration* (Herfindahl)	0.21	0.36	0.89	0.47	0.53	0.29	0.42	0.37	0.48	0.53	0.62	0.82	1.00				
12 *Conformity index*	1.13	2.69	0.07	−0.01	0.04	−0.03	0.06	−0.02	0.07	0.02	0.04	0.08	0.06	1.00			
13 *R&D nonconformity*	0.00	1.00	−0.09	−0.08	−0.11	−0.02	−0.11	−0.04	−0.10	−0.10	−0.09	−0.09	−0.07	−0.43	1.00		
14 *Capital intensity nonconformity*	0.00	1.00	−0.04	−0.02	0.00	0.03	−0.02	0.02	−0.03	−0.02	−0.01	−0.03	−0.02	−0.44	0.06	1.00	
15 *Leverage nonconformity*	0.00	1.00	−0.03	0.05	−0.01	0.00	−0.01	0.02	−0.02	0.02	0.00	−0.03	−0.02	−0.60	0.08	0.11	1.00
16 *Risk nonconformity*	0.00	1.00	−0.03	−0.01	0.00	0.09	−0.05	0.08	−0.05	0.01	−0.03	−0.07	−0.03	−0.46	0.02	−0.02	0.11
17 *Dividend nonconformity*	0.00	1.00	−0.04	−0.02	−0.01	0.00	−0.01	−0.01	−0.04	−0.01	−0.03	−0.05	−0.04	−0.55	−0.08	0.10	0.41
18 *Advertising nonconformity*	0.00	1.00	0.04	0.11	0.03	0.00	0.04	−0.02	0.04	0.06	0.05	0.05	0.02	−0.34	0.01	−0.06	0.07
19 *Return on assets*	0.04	0.09	0.02	0.01	−0.01	−0.03	0.01	−0.03	0.03	0.00	0.01	0.03	0.01	0.23	−0.05	−0.10	−0.14
20 *Market valuation* (Tobin's *q*)	1.95	1.78	−0.05	−0.03	−0.07	0.00	−0.08	−0.01	−0.05	−0.05	−0.05	−0.05	−0.05	−0.09	0.27	−0.04	−0.00
21 *Beta*	0.91	1.45	0.00	−0.01	0.01	0.05	−0.02	0.06	−0.02	0.01	−0.02	−0.02	0.00	−0.14	0.12	0.06	0.04
22 *5% owners*	0.22	0.22	−0.13	−0.12	−0.08	−0.03	−0.08	−0.03	−0.09	−0.10	−0.13	−0.14	−0.10	−0.06	−0.07	−0.05	0.09
23 *Inside directors ratio*	0.24	0.15	0.17	0.22	0.19	0.20	0.10	0.28	0.09	0.29	0.22	0.12	0.14	−0.08	0.00	0.00	0.06
24 *Firm size*	8.07	1.11	−0.06	−0.11	−0.10	−0.12	−0.04	−0.10	−0.02	−0.08	−0.06	−0.03	−0.05	0.02	−0.03	0.06	0.02
25 *Firm age*	59.60	44.28	0.05	0.01	−0.07	−0.16	0.01	−0.20	0.03	−0.06	0.02	0.10	0.05	0.12	−0.09	0.00	−0.05
26 *Supershares*	0.11	0.31	0.22	0.43	0.20	0.02	0.22	0.08	0.15	0.23	0.26	0.22	0.16	−0.10	−0.03	0.02	0.07
27 *Firm diversification*	0.70	0.29	0.01	0.05	0.03	0.07	−0.01	0.09	0.03	0.07	0.02	−0.02	−0.02	0.00	−0.02	−0.12	0.04
28 *Industry median ROA*	0.03	0.02	0.05	0.06	0.05	−0.04	0.09	−0.07	0.08	0.03	0.05	0.06	0.02	0.23	−0.22	−0.18	−0.10
29 *Industry median* (Tobin's *q*)	1.33	0.38	−0.03	−0.01	−0.04	0.00	−0.04	−0.01	−0.04	−0.03	−0.04	−0.04	−0.03	−0.13	0.39	−0.01	0.08

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Table 3 (cont'd)

	16	17	18	19	20	21	22	23	24	25	26	27	28
16 *Risk nonconformity*	1.00												
17 *Dividend nonconformity*	0.25	1.00											
18 *Advertising nonconformity*	−0.03	−0.05	1.00										
19 *Return on assets*	−0.23	−0.26	0.11	1.00									
20 *Market valuation* (Tobin's *q*)	0.00	−0.19	0.18	0.23	1.00								
21 *Beta*	0.18	−0.03	0.00	−0.05	0.13	1.00							
22 *5% owners*	0.13	0.17	−0.08	−0.11	−0.14	0.01	1.00						
23 *Inside directors ratio*	0.12	0.04	0.02	0.01	0.04	0.08	−0.06	1.00					
24 *Firm size*	−0.17	−0.03	0.09	0.06	0.04	−0.04	−0.15	−0.22	1.00				
25 *Firm age*	−0.23	−0.04	0.09	0.05	−0.10	−0.11	−0.09	−0.27	0.28	1.00			
26 *Supershares*	0.03	0.11	0.10	−0.06	−0.02	0.01	0.01	0.14	−0.06	−0.02	1.00		
27 *Firm diversification*	0.08	−0.02	0.05	0.05	0.13	0.09	0.08	0.17	−0.21	−0.26	0.03	1.00	
28 *Industry median ROA*	−0.09	−0.11	0.06	0.17	−0.12	−0.02	0.10	−0.07	−0.11	0.14	0.04	0.07	1.00
29 *Industry median* (Tobin's *q*)	−0.08	−0.19	0.12	0.16	0.42	0.11	−0.08	−0.01	0.02	−0.03	0.01	0.03	−0.01

First, the dummy variable for family ownership or management is significantly related to our conformity index (see Table 4, column 2) and its components of capital intensity, leverage, risk, and dividends (see Table 7, column 1). The results for the more fine-grained indicators of family involvement are also revealing.

Hypothesis 2A is supported, but only in part (see Table 4, columns 3 and 4). As expected, the degree of conformity grows with family *ownership*—that is, with the percentage of votes controlled by the family. But contrary to our expectations, the curvilinear portion of the relationship does not appear to be significant. In other words, the greater the percentage of family votes, the more conformist the strategy. The nonsignificance of the curvilinear relationship may result from too few firms in our Fortune 1000 sample showing very high levels (>40%) of family ownership. Conformity also increases with the concentration of votes among a few family members (the Herfindahl index reported in Table 4, column 5): where family votes are concentrated, the family can more readily act in unison to impose its will than where votes are scattered among many smaller family owners.

According to Hypothesis 2B, family *management* will be associated with conformity. This hypothesis is clearly supported, both for the aggregate index and for three of its components (see Table 4, column 6; and Table 7, column 4). Hypothesis 1C, however, qualifies that finding. It asserts that strategic conformity will apply to later-generation family executives—which we assessed as CEOs and chairmen—but not to founder-generation family CEOs or chairmen; it also asserts that the relationships with conformity will be significantly different between the first and later generations. This hypothesis too is supported: family CEOs in the second or later generations and family chairmen in the second or later generations are significantly associated with conformity—with the global conformity index and with many of its components. This is never the case for founder-generation family CEOs or chairmen (see Table 4, columns 7 and 8; and Table 7, columns 5–8).

The models of Table 5 (columns 2–4) establish the significance of the *difference* between the impact on conformity of first- versus later-generation owners, CEOs, and chairmen. In all cases, these differences were significant: that is, later generations were more associated with conformity than first generations. Finally, according to Hypothesis 2D, strategic conformity will increase with overall family *involvement*—i.e., the number of family directors, officers, and generations. Again, this hypothesis is supported for the aggregate conformity index and many of its components, and for family officers, family directors, and the number of family generations (see Table 4 and Table 7, columns 9–11).

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Table 4 Panel Regressions of Conformity Index on Family Governance

	1 *Base model*		2 *Family dummy*		3 *Family votes*		4 *Family votes²*		5 *Family vote conc.*	
Conformity	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE
Family dummy			0.853***	0.218						
Family votes (%)					1.615**	0.631	1.983	1.697		
Family votes^2 (%)							−0.606	2.405		
Family vote concentration (Herfindahl)									1.121***	0.262
Beta	−0.074*	0.036	−0.075*	0.036	−0.074*	0.036	−0.074*	0.036	−0.075*	0.036
5% owners	−1.460***	0.457	−1.212**	0.457	−1.297**	0.470	−1.297**	0.471	−1.253**	0.450
Inside directors ratio	0.510	0.582	0.059	0.564	0.292	0.567	0.292	0.572	0.168	0.564
Firm size	0.060	0.081	0.084	0.080	0.072	0.082	0.072	0.082	0.078	0.081
Firm age	0.004	0.002	0.003	0.002	0.004	0.002	0.004	0.002	0.004	0.002
Supershares	−0.889**	0.327	−1.080***	0.320	−1.232***	0.392	−1.232***	0.391	−1.078***	0.326
Firm diversification	0.928***	0.200	0.930***	0.200	0.934***	0.200	0.934***	0.200	0.937***	0.200
No. of observations	3,136		3,136		3,136		3,136		3,136	
χ^2	606.74***		655.37***		617.18***		618.10***		647.96***	

	6 *Family CEO*		7 *Fam. CEO: by generation*		8 *Fam. chair: by generation*		9 *Generations*		10 *No. of fam. officers*		11 *No. of fam. directors*	
Conformity	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE
Family CEO	0.56**	0.194										
Family founder CEO			0.310	0.355								
Family later CEO			0.602***	0.202								
Family founder chairman					0.404	0.282						
Family later chairman					0.622***	0.214						
Generations dummy							0.954***	0.233				
No. of family officers									0.241**	0.093		
No. of family directors											0.285***	0.089
Beta	−0.075*	0.036	−0.074*	0.036	−0.074*	0.036	−0.075*	0.036	−0.075*	0.036	−0.074*	0.036
5% owners	−1.385**	0.452	−1.377***	0.454	−1.364**	0.453	−1.185**	0.459	−1.344**	0.464	−1.253**	0.467
Inside directors ratio	0.343	0.570	0.390	0.575	0.220	0.581	0.131	0.577	0.112	0.585	0.100	0.574
Firm size	0.081	0.080	0.071	0.082	0.069	0.081	0.072	0.080	0.066	0.081	0.068	0.081
Firm age	0.004	0.002	0.004	0.002	0.004	0.002	0.003	0.002	0.004	0.002	0.004	0.002
Supershares	−0.968***	0.323	−1.039**	0.337	−0.990***	0.326	−1.117***	0.337	−1.101***	0.334	−1.125***	0.343
Firm diversification	0.930***	0.200	0.927***	0.199	0.918***	0.200	0.930***	0.200	0.928***	0.199	0.923***	0.200
No. of observations	3,136		3,136		3,136		3,136		3,136		3,136	
χ^2	638.87***		625.33***		626.98***		647.96***		618.32***		623.90***	

Note. χ^2 values adjusted for industry control dummies included in all models but are not shown in the table.
*Significant at or beyond the 0.05 level; **significant at or beyond the 0.01 level; ***significant at or beyond the 0.001 level.

Performance

We have discussed how the institutional theory and strategy literatures conflict concerning the performance consequences of conformity. Our findings in Table 6 regarding Hypothesis 3A again appear to favor the institutional perspective, but with mixed results. There exists a positive relationship between our conformity measure and return on assets (column 2). However, we found no association of conformity with Tobin's q (column 5), thus suggesting that investors do not believe that conformity adds value to a firm's prospects.

We wished to determine whether family firms would benefit more from conformity than nonfamily firms (Hypothesis 3B) by employing a family dummy × conformity product interaction term. This term did not achieve significance for return on assets or market valuations (see Table 6, columns 3 and 6). Despite the apparent proclivity of family firms to conform, they seem to garner no extra benefit from doing so—their behavior may be contributing to socioemotional wealth for the family rather than economic wealth for all shareholders. We also tested whether later-generation family businesses or smaller family businesses would benefit more from conformity than their first-generation or larger counterparts. Again, we could find no extra benefit to any of these subgroups for engaging in such behavior (these last analyses are available from the authors upon request).

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Table 5 Panel Regression of Conformity Index on Family Generations: Family Firms Only

	1 Base model		2 Owner generation		3 CEO generation		4 Chairman generation	
Conformity	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE
Owner generation dummy			1.060**	0.363				
CEO generation dummy					0.489*	0.215		
Chairman generation dummy							0.536*	0.241
Beta	−0.115**	0.046	−0.114**	0.046	−0.115**	0.046	−0.114**	0.046
5% owners	−1.192	0.786	−1.015	0.719	−1.158	0.765	−1.150	0.761
Inside directors ratio	1.236	0.950	1.188	0.924	1.238	0.947	1.150	0.927
Firm size	0.135	0.137	0.122	0.136	0.135	0.137	0.132	0.136
Firm age	0.009*	0.004	0.002	0.005	0.009*	0.004	0.008*	0.004
Supershares	−0.641*	0.314	−0.674*	0.303	−0.747*	0.322	−0.659*	0.307
Firm diversification	1.068***	0.311	1.057***	0.309	1.062***	0.310	1.045***	0.310
No. of observations	1,637		1,637		1,637		1,637	
χ^2	361.72***		380.11***		370.71***		372.61***	

Note. χ^2 values adjusted for industry control dummies in all models but are not shown in the table.
*Significant at or beyond the 0.05 level; **significant at or beyond the 0.01 level; ***significant at or beyond the 0.001 level.

Discussion

Institutional theorists maintain that owner and executive preferences are socially determined and that social contexts will impose cognitive, normative, and political influences and constraints (Greenwood et al. 2010, Scott 2007). In the case of family firms, we have argued that family actors, to pursue socioemotional wealth priorities such as family control and management, will conform in their visible strategy practices to garner legitimacy among the financial, business, and regulatory communities. Also, because of their unorthodox governance practices, they may also be pressured to conform in their strategies by both external pressures and resource limitations (Berrone et al. 2010, Gómez-Mejía et al. 2007). We therefore hypothesized that family firms would prioritize corporate legitimacy over competitive uniqueness and favor strategic conformity over differentiation. Following Deephouse (1996, 1999), Deephouse and Suchman (2008), and Miller and Chen (1996), we proposed that the quest for legitimacy would manifest in strategies that conform to industry norms.

Our principal hypothesis was supported in many of its variations. Specifically, conformity was correlated with the degree of family involvement, as assessed by the level of family vote control, family top management in later generations, number of family officers and directors, and family generations in the business—all manifestations of the pursuit of socioemotional wealth. As more generations and family members enter a business, family visibility, resource limitations, and charges of nepotism and entrenchment may increase, thereby enhancing the need to conform in strategy. It may also be that as the number of family officers, directors, and owners grows, there are more apt to be those among them who view the firm as a sinecure and source of security for themselves and their children (Gómez-Mejía et al. 2007). And because family members tend to have significant influence on one another because of their long-term and close emotional ties, those conservatives may be able to convince key family executives to steer a safer course in business—that of conformity as opposed to unorthodoxy (Bloom and Van Reenen 2007, Berrone et al. 2010). Only family firm founders seemed to resist this pressure for strategic conformity, perhaps because their status as business creators gave them significant cognitive, economic, and political independence from other family members, as well as prestige in the business community. Moreover, founders are by definition entrepreneurs, and in establishing a very large business, they must innovate and be proactive (Miller 1983). It is understandable then that they conform less to industry norms.

Our study contributes to the SEW perspective of family business, in part by relating it more closely to the institutional challenges confronting some kinds of family firms and to family firms' responses to those challenges. Specifically, we have demonstrated that among large public family companies, the pursuit of SEW is associated with (a) particular aspects of family firm governance and (b) conformity along numerous critical and visible aspects of strategy. Our findings also help to reconcile some conflicting findings in the SEW literature. For example, research by Berrone et al. (2010) argues that the pursuit of SEW leads firms to conform to environmental guidelines. On the other hand, research by Gómez-Mejía et al. (2007, 2010a, b) has found that family firms are more apt to deviate from industry practice in their pursuit of SEW. We have shown that, at least for large public family firms, that whether or not companies conform depends on the nature of family governance—i.e., the extent to which a firm is embedded in the family (Le Breton-Miller et al. 2011). The more the family

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Table 6 Panel Regressions of Performance on Conformity

	Return on assets					
	1		2		3	
Performance	Coef.	SE	Coef.	SE	Coef.	SE
Lag conformity			0.002*	0.001	0.002*	0.001
Family					−0.002	0.005
Family × Lag conformity					0.001	0.004
Industry ROA	0.639***	0.071	0.611***	0.071	0.611***	0.071
Beta	−0.004*	0.002	−0.003*	0.002	−0.003*	0.002
5% owners	−0.045***	0.009	−0.044***	0.009	−0.045***	0.009
Inside directors ratio	0.007	0.017	0.009	0.017	0.009	0.017
Firm size	0.004	0.002	0.004	0.002	0.004	0.002
Firm age	0.000	0.000	0.000	0.000	0.000	0.000
Supershares	−0.019**	0.006	−0.018**	0.006	−0.017**	0.006
Firm diversification	0.013**	0.006	0.014**	0.006	0.014**	0.006
Constant	0.009**	0.015	0.007**	0.016	0.008**	0.016
No. of observations	3,027		3,027		3,022	
No. of companies	659		659		657	
χ^2	152.26***		156.74***		157.75***	
Change in χ^2			4.48*		1.01	
	Tobin's *q*					
	4		5		6	
Performance	Coef.	SE	Coef.	SE	Coef.	SE
Lag conformity			0.023	0.031	0.029	0.042
Family					−0.175	0.102
Family × Lag conformity					−0.020	0.046
Industry (Tobin's *q*)	0.862***	0.164	0.860***	0.165	0.860***	0.165
Beta	−0.030	0.033	−0.031	0.033	−0.031	0.033
5% owners	−1.107***	0.206	−1.091***	0.203	−1.143***	0.210
Inside directors ratio	0.259	0.319	0.288	0.325	0.376	0.340
Firm size	−0.009	0.058	−0.005	0.057	−0.006	0.057
Firm age	−0.002*	0.001	−0.003*	0.001	−0.002*	0.001
Supershares	−0.192	0.179	−0.174	0.195	−0.109	0.201
Firm diversification	0.139	0.186	0.130	0.188	0.135	0.189
Constant	1.122*	0.530	1.189*	0.536	1.232*	0.536
No. of observations	3,020		3,020		3,015	
No. of companies	656		656		654	
χ^2	64.00***		64.92***		66.06***	
Change in χ^2			0.92		1.04	

*Significant at or beyond the 0.05 level; **significant at or beyond the 0.01 level; ***significant at or beyond the 0.001 level.

is implicated in ownership, management, and generational presence, the more likely conformity is to occur. We have argued that this is because family involvement, which may signal parochial family SEW priorities to external stakeholders, requires of a family firm more concerted efforts to achieve legitimacy—and therefore it motivates strategic conformity.

It is interesting that our findings appear to run counter to the thinking of scholars of executive discretion (Hambrick and Finkelstein 1987, Hambrick et al. 2004). Given the power of many family owners and executives—their significant ownership, their ties to board members and the community, their wealth—one would expect that they would have the discretion to be nonconforming. Indeed, that is what many family business scholars have argued (Arrègle et al. 2007, Chrisman et al. 2005, Miller and Le Breton-Miller 2005, Zellweger 2007). That is not what we found. It appears that it is not formal power or influence, per se, but the social context in which one exercises it that is most important to conformity.

There were mixed performance implications of conformity for both nonfamily and family firms. As noted, return on assets was positively related to conformity. However, the relationship between conformity and Tobin's *q* never attained significance. These results

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Table 7 Robustness Checks—Panel Regressions of Nonconformity Component Variables on Family Governance

	Family dummy	*Family votes % and Family votes % sq.*		*Family vote concentration*	*Family CEO*	*Family founder CEO*
Dependent variables	1	2		3	4	5
Capital intensity	−2.53**	−2.14*	0.23	−2.27*	−2.29*	1.45
R&D nonconformity	−0.46	−0.58	0.32	0.40	−2.35*	−1.22
Leverage nonconformity	−2.91**	−0.36	0.13	−3.75***	−0.69	0.22
Unsystem. risk nonconformity	−2.19*	−2.56**	−0.11	−1.97*	−2.11*	0.86
Advertising nonconformity	−1.04	−0.42	1.40	−1.02	−1.30	0.78
Dividend nonconformity	−2.88**	−2.04*	−0.30	−3.69***	−1.52	−0.61

	Family CEO—later generations	*Family founder chairman*	*Family chair—later generations*	*No. of family directors*	*No. of family officers*	*Family generations*
Dependent variables	6	7	8	9	10	11
Capital intensity	−2.10*	−1.82+	−1.31	−2.37*	−2.65**	−2.53**
R&D nonconformity	−2.40*	−0.63	−0.24	−0.87	−1.86+	0.12
Leverage nonconformity	−1.84+	−0.21	−1.31	−1.52	−0.83	−2.59**
Unsystem. risk nonconformity	−3.43***	0.57	−2.76**	−2.88**	−1.35	−3.38***
Advertising nonconformity	0.19	0.79	−1.70+	−0.57	−1.44	−1.01
Dividend nonconformity	−1.46	−2.16*	−2.90**	−1.82+	−0.81	−2.95**

Note. *t*-Statistics are from full-panel regression models with all controls included.
+Significant at or beyond the 0.10 level; *significant at or beyond the 0.05 level; **significant at or beyond the 0.01 level; ***significant at or beyond the 0.001 level.

appear to mirror the ambiguity in the institutional and SEW literatures. Some institutionalists identify several possible benefits of conformity. Selection pressures might ensure that the modal strategic positions for any given industry are "tried and true"—at least most of the time (Baum and Powell 1995). Indeed, the popularity of particular strategic orientations may make them less risky and thus more acceptable to stakeholders who must supply essential resources to a firm (Pfeffer and Salancik 1978). It also may be that conformity produces economic benefits in that it reduces costs and draws more predictable revenues. However, many institutionalists view the attainment of legitimacy as an end in itself, something that accomplishes a social purpose beyond economic reward (Meyer and Rowan 1977). The literature on SEW adopts that same point of view (Berrone et al. 2010, Gómez-Mejía et al. 2007).

We warn that our study should not be taken as a repudiation of family business studies that celebrate the uniqueness of these firms and their ability to do things differently. It may well be that it is precisely by emphasizing conformity in the publicly observable aspects of strategy we have studied here that family firms are able to garner the credibility that enables them to embrace less visible unorthodoxies in areas such as organizational culture and values, human resource practices, and organizational designs and processes (Arrègle et al. 2007, James 2006, Habbershon and Williams 1999, Miller et al. 2008). Moreover, we found that whereas the institutional perspective on conformity did indeed apply to later-generation family owners and managers, it *did not* hold for the earlier generations. Both of these observations suggest the potential for reconciliation between institutional and family firm perspectives. Finally, our study was of highly visible, large, publicly traded companies for which, we argued, conformity would be especially important. That may not be the case in smaller or private family businesses with low profiles, where there may be fewer pressures to conform to markets and more pressures to address family concerns (Gómez-Mejía et al. 2007).

Revisiting Institutional Theory's Roots in the Context of Governance

This research represents a return to a fundamental theme of institutional theory—namely, the seeking of legitimacy through conformity as a natural and beneficial tendency of many organizations (DiMaggio and Powell 1983, Meyer and Rowan 1977). Recent trends in institutional theory have examined the institutional aspects of change and entrepreneurship, focusing not on the drivers of legitimated practice but on explaining emerging deviations from such practice (Greenwood et al. 2010). Those are critical concerns, but they are best appreciated only if we thoroughly understand the sources of firms' quests for legitimacy, and that is what our study has attempted to do. Certainly, there has been a good deal of insight generated by previous studies. However, the role of governance has been neglected. The emphasis to date has been on the competitive environment, the supply of resources, and the dependency on regulatory and legal institutions (see the excellent review by Deephouse and Suchman 2008). Yet legitimacy must be sought through

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human agency—by those with an incentive to legitimate their organizations, their competency, and their trustworthiness. That quest, we argued, might be markedly evidenced and writ large where those agents have the greatest motivation and the most power to seek legitimacy for their companies. Family owners and executives seemed to meet these conditions because of their pursuit of SEW, the institutionally contested nature of family governance, and the often more limited access to financial and managerial resources. All of these factors, we argued, would induce family firms to more avidly pursue legitimacy via strategic conformity. Moreover, the weight of most of these factors was proposed to increase with the levels of family control, management, directors, and generational involvement. That is what we found in this study.

Our results are doubly significant given that family firms have been labeled by some of the family firm literature as being especially unorthodox and independent (Chrisman et al. 2009, Miller and Le Breton-Miller 2005, Zellweger 2007). It is also noteworthy that in an economic province such as competitive business strategy among Fortune 1000 firms that the quest for legitimacy via isomorphism should be so prominent.

The broader implications of this study are that conditions of governance—namely, who owns and manages a firm—will have a profound influence on whether, how, and how much an enterprise will solicit legitimacy through its visible strategic behavior. These conditions may also determine how likely it is for an organization to adhere to or undertake departures from normal practice.

Our earlier research on the Fortune 1000 family firms analyzed the implications of family ownership and management for profitability (Miller et al. 2007), mergers and acquisitions (Miller et al. 2010), firm growth (Miller et al. 2011), and agency conflicts (Le Breton-Miller et al. 2011). The overarching finding across these studies was that one should not generalize about the behavior of family firms without being very specific about the nature of family involvement in governance. Firm conduct appears to be influenced by the embeddedness of a firm's principals and agents within a controlling family (Le Breton-Miller et al. 2011). Thus researchers of family businesses should take into account family involvement in ownership and management, as well as generational presence. For example, just as firms and executives embedded within a controlling family demonstrate a susceptibility to agency conflict (Le Breton-Miller et al. 2011), they also are more apt to pursue strategic conformity—perhaps to satisfy SEW objectives and the legitimacy requirements these entail. Future scholars might be wise to pay attention to such details of family governance.

Limitations and Future Research Directions

This research suffers from a number of limitations. Our study may not apply to private family firms or to small family firms that are less in the public eye, which are hence less subject to institutional pressures. Also, our period of analysis was one in which the economy was relatively healthy. Care must be taken, therefore, not to generalize our findings to periods of economic hardship. Moreover, our emphasis has been on visible, quantitative, and financial indicators of different aspects of strategy. However, we know little about more fine-grained details of strategy such as product quality, pricing policies, modes of distribution, and the nature of alliances with external parties—all potential sources of differentiation. We do not know whether in these domains family firms will conform to or diverge from common practice. More importantly, we have not studied the culture or structure of the organization—areas in which family firms have been argued to distinguish themselves favorably (Chrisman et al. 2009, Miller and Le Breton-Miller 2005, Zellweger 2007). Again, these domains may represent possible avenues of differentiation that can compensate for the strategic conformity we found in this study. Subsequent researchers might do well to attempt to fill these gaps. Finally, this research has concentrated on macro indicators of family involvement, but it has said little about the personal backgrounds of family members—the quality of their relationships with one another, their similarity of upbringing, or their plans for the future. These are all factors worthy of exploration.

We began by delineating a schism between the family firm and strategy literature and the institutional and socioemotional wealth literature regarding the prevalence and utility of conforming behavior. The former schools view strategic nonconformity as common among family firms and as potential sources of advantage. By contrast, institutional logic would suggest that family firms, given their unorthodox governance, resource challenges, and family SEW objectives, would be more likely to conform. We found considerable support for the latter perspective: family involvement is indeed related to greater, not lesser, conformity in strategy. The implications of conformity for performance, however, remain mixed. We believe that it would be most useful for subsequent researchers to investigate further the opportunities for rapprochement between these contrasting perspectives.

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Appendix. Instrumental Variable Regressions

	Return on assets				Tobin's q			
	1		2		3		4	
Performance	Coef.	SE	Coef.	SE	Coef.	SE	Coef.	SE
Lag conformity	0.006**	0.002	0.006**	0.002	–0.010	0.252	–0.012	0.031
Family			0.005	0.005			–0.267	0.136
Family × lag conformity			–0.002	0.002			0.009	0.041
Industry ROA	0.565***	0.068	0.563***	0.068				
Industry (Tobin's q)					1.186***	0.086	1.187***	0.086
Beta	–0.003***	0.001	–0.003***	0.001	0.057*	0.029	0.058*	0.029
5% owners	–0.042***	0.011	–0.044***	0.011	–1.265***	0.279	–1.332***	0.288
Inside directors ratio	0.030	0.017	0.033	0.017	0.174	0.408	0.303	0.414
Firm size	0.005**	0.002	0.005*	0.002	0.082	0.047	0.078	0.047
Firm age	0.000	0.000	0.000	0.000	–0.004**	0.001	–0.004**	0.001
Supershares	–0.012	0.008	–0.011	0.007	–0.144	0.191	–0.065	0.193
Firm diversification	–0.006	0.004	–0.005	0.005	0.177	0.120	0.183	0.120
Constant	–0.015	0.018	–0.013	0.018	0.180	0.468	0.251	0.470
No. of observations	3,044		3,041		3,040		3,037	
No. of companies	676		675		676		675	
Wald statistic	228.81***		265.90***		244.84***		252.11***	

*Significant at or beyond the 0.05 level; **significant at or beyond the 0.01 level; ***significant at or beyond the 0.001 level.

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